

ICAP Strategic Case Study - Predicted Paper # 1

Suggested Answers

Question 1(a) - Analyze performance of Korangi and Saddar depots (8 marks)

The depots should not be judged only on operating profit because KMCH operates a premium rental brand, and poor service indicators may damage future demand even where current accounting profit remains positive. Having said that, it appears that both depots are currently profitable and generating single digit profit margins.

PKR Mn	Korangi	Saddar
Revenue	92.4	78.6
Variable cost	7,880 x Rs. 6,450 = 50.8	6,520 x Rs. 6,720 = 43.8
Contribution after variable cost	41.6	34.8
Fixed depot operating cost	(32.5)	(30.7)
Depot operating profit	9.1	4.1
Contribution margin	45.0%	44.3%
Operating profit margin	9.8%	5.2%

Interpretation and business reasons:

- Both depots remain profitable, but profit is weak relative to the operational problems. Saddar earns only Rs. 4.1 million operating profits; a modest fall in rental days, additional maintenance cost, or pricing pressure could make it loss-making. The Board should therefore not be comforted by the fact that the depots still show accounting profit.
- Utilisation of 56.8% at Korangi and 52.5% at Saddar is materially below the KMCH network average of 70.2%. This suggests under-use of fleet assets and weak demand conversion. Possible business reasons include unattractive or congested locations, limited parking / handover capacity, weak local catchment, competition from cheaper app-based operators, poor online reviews, older fleet quality and lack of corporate customer demand around these depot locations.
- Average daily rental rates of Rs. 11,726 and Rs. 12,055 are below the network average of Rs. 13,820. This may indicate discounting to compensate for weaker vehicles or weak customer experience. It may also show that the depots are attracting more price-sensitive users rather than premium family, corporate or airport-transfer customers. This is inconsistent with KMCH's premium positioning.
- Variable cost per rental day is above the network average at both depots. Older vehicles, higher mileage, inefficient fuel consumption, more frequent repairs, tyre replacement, emergency maintenance and lower maintenance discipline could explain this. This also indicates that retaining older vehicles may be a false economy: book values may be low, but running costs and service disruption are high.
- Fixed depot operating costs are higher than the network average despite weaker utilisation. This suggests poor cost absorption. The same premises, staff and administration costs are being spread over fewer rental days, reducing operating margin. The Board should investigate whether the premises are too expensive for the demand generated or whether the fixed-cost base can be reduced through relocation or a virtual depot model.
- Customer satisfaction scores of 4.05 and 4.10 are well below KMCH's 4.70 network average. For a premium service business, this is a strategic concern rather than a purely operational issue. Low ratings may reduce repeat rentals, corporate contract renewals, referrals and app conversion rates.

- Complaints per 1,000 rentals are more than double the network average. This is consistent with the issues mentioned in the pre-seen: service delays, handover issues, old fleet and staff pressure. If unresolved, KMCH may suffer reputational damage in Karachi, its core market.
- Average handover time of 28-31 minutes compared with 16 minutes suggests process weakness. Potential reasons include manual document checks, vehicle not being ready, insufficient handover bays, poor scheduling, delayed cleaning, damage disputes and lack of digital pre-verification.
- Employee turnover of 18%-20% is much higher than the network average. This may cause inexperienced staff, inconsistent service and weak accountability. Conversely, poor depot performance and customer complaints may be causing staff dissatisfaction. The Board should treat HR, process and asset condition as linked issues.
- **Conclusion:** The depots are financially weak and operationally inconsistent with KMCH's premium strategy. The Board should not continue with business as usual. However, because both depots still make a contribution margin, immediate closure should be considered only after analysing relocation, virtual depot and phased fleet replacement alternatives.

Important note for students: I am aware that upon calculation the rental per day average for current operations comes out as Rs 10,800. But since 13,800 was mentioned in the question, we have taken it for the purposes of answering and have not challenged the examiner. In the same way, if examiner gives you an obvious data point in the exam material do not challenge it, rather simply use it as given.

Question 1(b) - Turnaround, relocation or closure (8 marks)

The decision should balance financial performance, customer access, brand impact, employee impact and the feasibility of fixing the root causes. The evidence suggests that the current form of the depots is not sustainable, but the most appropriate response may differ between Korangi and Saddar.

Option 1: Turnaround in place

- This option is least disruptive and preserves existing customer relationships, staff employment and local market coverage. It may be suitable where problems are caused mainly by process failure, staff training, poor scheduling and weak maintenance discipline rather than location.
- Turnaround actions should include digital pre-verification of licenses, appointment-based handovers, vehicle readiness checks, complaint root-cause analysis, staff retraining, maintenance scheduling and minimum service KPIs.
- However, the case indicates that the premises are small and handover bays are constrained. If congestion, poor access and limited parking are structural issues, training and process improvements will not fully solve the problem.
- Turnaround should therefore be time-bound. The Board could approve a three- to six-month recovery plan with thresholds: utilisation above 62%-65%, handover time below 20 minutes, complaints below 10 per 1,000 rentals and rating above 4.40. If thresholds are not achieved, relocation or closure should follow.

Option 2: Relocation

- Relocation to DHA Phase VIII could improve customer catchment, access, parking, handover space and fit with premium customers such as corporate guests, residents, airport users and family renters.
- Relocation may also allow KMCH to redesign the operating model rather than carrying forward poor legacy processes. It could support a higher rental rate and better utilisation if the local demand is genuine.
- The key concern is financial risk. The relocated depot would need either high utilisation or a high rental rate. These targets may be demanding for a new or relocated depot.
- Relocation should not be approved solely because the current depots are weak. KMCH should validate demand through local market research, corporate client commitments, competitor pricing, parking feasibility and app-search data.

Option 3: Closure

- Closure would remove weak service points, prevent further brand damage and allow vehicles and staff to be redeployed to stronger depots or mobile handover operations.
- However, closure may reduce Karachi coverage, inconvenience existing customers, create redundancy / morale issues and weaken network density. It may also surrender local market share to competitors.
- Closure may be appropriate for the weaker depot if turnaround is unrealistic and relocation does not meet financial or strategic criteria.
- If closure is selected, KMCH should communicate clearly with customers, redirect bookings, offer doorstep delivery alternatives and manage employees fairly through redeployment or severance.

Recommendation:

KMCH should not continue both depots unchanged. A phased approach is preferable, that is, KMCH should implement immediate process improvements across both depots. The weaker processes to be changed in the first go are also highlighted in Answer 1(a) and some of the changes are mentioned in Answer 1(c).

KMCH could select one location (Korangi) for a controlled turnaround where operational causes can be fixed; and test the other location (Saddar) relocation or virtual depot operations. Closure should be the fallback if the revised model cannot meet minimum utilisation, customer-rating and financial thresholds.

Question 1(c) - Business process redesign (8 marks)

The weak KPIs indicate that KMCH's problem is not limited to the age of vehicles. Handover delays, complaints, downtime and inconsistent reporting point to process weaknesses. A business process redesign should cover the full customer journey and internal control cycle.

- Booking and pre-arrival verification: customers should upload CNIC/passport, driving license and payment details through the app before arrival. License validation and deposit / payment pre-authorisation should be completed before the customer reaches the depot. This reduces counter time and manual checking.
- Demand and fleet allocation: the system should allocate vehicles based on expected return time, maintenance status, customer segment and vehicle class. A vehicle should not be shown as being available until it is cleaned, inspected and released by maintenance.
- Handover process: KMCH should use time-stamped digital checklists, standardised damage coding, photographs / video evidence, electronic customer sign-off and clear fuel/charge-level confirmation. This reduces disputes and protects both customer and company.
- Vehicle readiness: before opening hours, the depot manager should review a readiness dashboard showing vehicles cleaned, fueled/charged, inspected, insured and available. Delays should be escalated before customer arrival.
- Maintenance reporting: telematics alerts should automatically create work orders. Repairs should not be tracked only through spreadsheets. Repeat faults should be visible to fleet management, and vehicles with safety concerns should be blocked from booking.
- Complaint handling: complaints should be categorised by delay, cleanliness, vehicle condition, billing, staff behaviour, app issue and accident/damage dispute. Each complaint should have an owner, target closure date and root-cause code.
- Depot performance monitoring: utilisation, downtime, complaints, handover time, cancellations, refunds and staff availability should have standard definitions across all depots. This avoids manipulation or inconsistent reporting.
- Controls and segregation of duties: booking approval, vehicle release, damage assessment, refund approval and maintenance authorisation should not be controlled by the same person. Exceptions and manual overrides should be reported to the COO/CFO.
- Customer communication: if a vehicle is delayed or substituted, the customer should receive proactive notification, alternative vehicle options and service recovery where appropriate.
- Post-implementation review: the redesigned process should be measured through pre/post KPIs. If handover time and complaints do not improve, the issue may be structural location weakness rather than process weakness.

Question 1(d) - Service quality controls and benchmarking (8 marks)

Because KMCH is a premium rental provider, service quality controls should be treated as value-protection controls, not merely operational checks. The same controls will also be required if KMCH later uses virtual depots or franchisees.

- Service standards: set measurable minimum standards for vehicle cleanliness, maximum handover time, roadside-assistance response time, complaint closure time, vehicle age, downtime and fuel/charge level.
- Preventive controls: daily vehicle-readiness checks, preventive maintenance schedules, driver/chauffeur training, license verification, deposit controls and app-based handover checklists should prevent service failures before they occur.
- Detective controls: depot audits, mystery customer visits, exception reports and telematics monitoring should identify depots with recurring failures.
- Corrective controls: any depot below thresholds should submit a recovery plan with responsibilities, deadlines and budget. Repeated failures should affect manager appraisal and incentives.
- Benchmarking: each depot should be benchmarked against network average, top quartile depots and relevant competitors. Measures should include utilisation, rental rate, contribution margin, complaints per 1,000 rentals, customer rating, downtime, handover time and employee turnover.
- Virtual depot controls: require geo-tagged handover photos, verified parking locations, real-time mobile-team tracking, proof of delivery / collection, damage evidence, customer sign-off and escalation for late handovers.
- Customer feedback: app-based feedback should be requested after handover and vehicle return. Ratings below 4.0 should trigger automatic contact by customer experience team.
- Link to reward: depot managers and mobile teams should be rewarded not only for revenue but also customer rating, complaints, downtime and compliance with handover procedures.
- Board reporting: a monthly red-amber-green dashboard should be provided to the Board or relevant committee. Persistent red status should require Board-level intervention because of brand risk.

Question 2(a) - Asset replacement analysis for 40 older vehicles (12 marks)

The replacement decision should be based on incremental cash flows: the additional cash outflow of replacing now, the immediate disposal proceeds from the existing vehicles, operating savings from new vehicles, reduced downtime and the incremental residual value at the end of the period. Taxation is ignored as instructed.

Cash flow item		Working	Rs. million
Immediate purchase of 40 new vehicles		40 x 5.60	(224.0)
Immediate sale proceeds from old vehicles		40 x 2.10	84.0
Net initial investment			(140.0)
Year 1 maintenance saving		40 x (0.55 - 0.24)	12.4
Year 1 fuel saving		40 x 0.20	8.0
Year 1 downtime benefit		40 x (20 - 8) x Rs. 5,500	2.6
Year 1 total benefit			23.0
Year 2 maintenance saving		40 x (0.65 - 0.28)	14.8
Year 2 fuel saving		40 x 0.20	8.0
Year 2 downtime benefit		40 x 12 x Rs. 5,500	2.6
Year 2 total benefit			25.4
Year 3 maintenance saving		40 x (0.78 - 0.33)	18.0
Year 3 fuel saving		40 x 0.20	8.0
Year 3 downtime benefit		40 x 12 x Rs. 5,500	2.6
Incremental residual value		40 x (3.20 - 0.75)	98.0
Year 3 total cash flow			126.6
Year	Incremental cash flow	Discount factor at 13%	Present value
0	(140.0)	1.000	(140.0)
1	23.0	0.885	20.4
2	25.4	0.783	19.9
3	126.6	0.693	87.8
NPV			(11.9)

Financial interpretation:

- The replacement analysis gives a negative NPV of approximately Rs. 11.9 million. Based only on the quantified cash flows, replacing all 40 vehicles immediately is not financially attractive.
- The negative NPV does not mean that no replacement is needed. It means that the quantified savings from lower maintenance, fuel efficiency and downtime do not fully recover the net investment cost over the three-year period.
- The result is heavily influenced by the assumed residual values. If existing vehicle resale values fall quickly, or new hybrid residual values are stronger than forecast, the replacement option would improve.
- The downtime benefit is based on Rs. 5,500 contribution per downtime day. This may understate the true cost if downtime also causes customer dissatisfaction, refunds, negative reviews and lost corporate renewals.
- The potential additional revenue from better customer satisfaction driven by cleaner & newer vehicles is also not taken into account in the analysis since it was mentioned that it cannot be quantified.
- Maintenance cost escalation may also be understated. Older vehicles often suffer non-linear cost increases as mileage rises, especially if spare parts inflation and technician shortages worsen.

- The appraisal assumes replacement of all 40 vehicles at once. A phased replacement of the worst-performing 15-20 vehicles may be financially superior and may reduce cash-flow risk.

Wider business considerations:

- Premium positioning: KMCH's premium brand depends on vehicle reliability, cleanliness and modern fleet quality. Old vehicles may damage brand perception even where direct cost savings are insufficient to justify replacement.
- Service quality: new vehicles may reduce complaints, handover disputes and roadside assistance calls. These benefits are difficult to quantify but important in a customer-facing service business.
- Safety and insurance: older vehicles may increase safety risk, accident risk and insurance claims. If insurers increase premiums or impose restrictions, replacement becomes more attractive.
- Maintenance capacity: older fleet uses workshop capacity that could be used for higher-margin vehicles. The opportunity cost of technician time should be considered.
- Utilisation and pricing: newer hybrid sedans may support higher utilisation and rental rates, particularly for corporate clients and premium customers. These revenue benefits have not been included in the calculation.
- Alternative use: instead of selling all older vehicles, KMCH could redeploy selected vehicles to a budget sub-brand, low-risk corporate contracts, staff logistics or lower-priced segments if consistent with brand separation.
- Cash constraints: immediate full replacement requires Rs. 224 million purchase cash before disposal proceeds. This may compete with other projects such as IT upgrade, EV pilot and Islamabad expansion.
- Environmental strategy: hybrid sedans could support green mobility messaging but the Board should ensure consistency with the wider EV/hybrid fleet roadmap.

Recommendation:

The Board should not reject the replacement of 40 vehicles purely on the negative NPV since continuing all old vehicles is also not advisable because of service and brand risk.

Instead, the Board may adopt a phased replacement approach: replace the most unreliable vehicles first, validate whether customer ratings, downtime and rental yields improve, and especially if Revenues increase over the first 6 to 9 months. Once this is validated the program can immediately be extended to all 40 vehicles. It is important, however, that the final decision is linked to the overall business strategy and is taken with 6 to 12 months.

The Board should also consider the relevant depot strategy whilst taking this decision. That is, if a depot is to be closed or converted into a virtual model, full fleet replacement for that location may not be justified.

Question 2(b) - Lease versus buy for 55 vehicles (12 marks)

The comparison should be made on a discounted cashflow basis over four years. Taxation is ignored as instructed. The lower present value of cost is not automatically the best decision, but it provides the financial starting point for the Board.

Item	Working	Purchase option Rs. million
Purchase price	55×4.90	269.5
PV of maintenance and insurance	$55 \times 0.42 \times 3.037$	70.2
PV of residual value	$55 \times 2.40 \times 0.636$	(83.9)
Total PV cost - buy		255.8
		Lease option Rs. million
Annual lease rental	55×1.48	81.4 per year
PV of lease rentals	81.4×3.037	247.2
Total PV cost - lease		247.2
Difference		Lease is cheaper by approx. Rs 8.6 million

Financial interpretation:

- The lease option has a lower present value of cost by approximately Rs. 8.6 million. On a quantified basis, leasing is marginally preferable.
- The difference is not very large relative to the scale of the vehicle fleet. Therefore, qualitative factors could reasonably change the final decision.
- Leasing also reduces the initial cash outflow compared with purchase. This is important because KMCH is considering several capital-intensive projects simultaneously.
- Buying gives KMCH a residual value at the end of four years but also exposes it to residual value risk. If the market value of sedans falls because of EV transition, fuel prices or model obsolescence, the purchase option becomes worse.
- The lease option includes maintenance and insurance, which may reduce operating uncertainty and management burden.

Qualitative considerations:

- Demand uncertainty: the DHA Phase VIII depot is a new / relocated operation and may not immediately reach target utilisation. Leasing provides flexibility if demand is below expectation, subject to termination terms.
- Cash-flow flexibility: purchase requires a significant immediate cash outflow. Leasing spreads payments over time and may preserve cash for IT upgrades, training, marketing and service-quality improvements.
- Control over assets: purchase gives KMCH greater control over vehicle branding, usage intensity, maintenance approach, modifications and redeployment across depots. Lease contracts may restrict mileage, locations, usage categories, driver types and modifications.
- Mileage and damage penalties: vehicle rental businesses have high usage intensity. If lease agreements include mileage caps, damage penalties or strict return-condition clauses, the actual cost of leasing could exceed the quoted rental.
- Maintenance quality: since maintenance is included in the lease, KMCH must ensure that the lessor's service-level commitments are strong. Poor lessor maintenance could affect customer satisfaction while still reflecting badly on KMCH.

- Balance sheet and gearing: lease commitments may increase reported lease liabilities and fixed payment obligations. Since KMCH already uses lease financing, the Board should consider covenant, gearing and debt-capacity impact.
- ROCE impact: purchase increases capital employed, potentially depressing ROCE if utilisation takes time to build. Leasing may improve asset-light flexibility but still creates fixed obligations.
- Tax and sales tax: although ignored in the calculation, deductibility of lease rentals, input tax treatment and documentation could affect the real economics.
- Exit options: if the relocated depot underperforms, the ability to return vehicles, transfer vehicles or renegotiate leases will be important.
- Strategic fleet refresh: leasing may allow KMCH to refresh models more frequently, which supports premium image and reduces obsolescence risk.

Conclusion:

Leasing appears financially preferable and strategically suitable for a pilot or uncertain relocated depot because it preserves cash and transfers residual value risk. However, the Board should negotiate mileage limits, termination rights, replacement vehicle obligations, maintenance service levels and damage penalties before approval. Purchase may be preferable only if management has high confidence in utilisation, expects strong residual values and wants full control over the vehicles.

Question 2(c) - Targeted utilisation and targeted average daily rental rate (10 marks)

Management wants the relocated depot to achieve a target NPV of Rs. 40.0 million. The calculation below works backwards to the annual contribution required before fixed cost and then converts that into either utilisation or rental rate.

Step	Working	Rs. million
Initial investment	Depot setup 130.0 + launch cost 20.0 + working capital 20.0	170.0
PV of working capital recovery	20.0×0.636	(12.7)
Required PV of annual net cash flows	Target NPV 40.0 + initial 170.0 - PV recovery 12.7	197.3
Annuity factor at 12% for 4 years	$0.893 + 0.797 + 0.712 + 0.636$	3.037
Required annual net cash flow	$197.3 / 3.037$	65.0
Annual fixed cost	Given	62.0
Required annual contribution before fixed cost	$65.0 + 62.0$	127.0

Required utilisation if rental rate is Rs. 14,000:

Step	Working	Result
Contribution per rental day	Rs. 14,000 - Rs. 6,500	Rs. 7,500
Maximum rental days	55 vehicles x 365 days	20,075 days
Required rental days	Rs. 127.0m / Rs. 7,500	16,933 days
Required utilisation	$16,933 / 20,075$	84.3%

Required rental rate if utilisation is 70.2%:

Step	Working	Result
Rental days at 70.2%	$20,075 \times 70.2\%$	14,093 days
Required contribution per rental day	Rs. 127.0m / 14,093	Rs. 9,012
Required average daily rental rate	Rs. 9,012 + Rs. 6,500	Rs. 15,512

Interpretation:

- Required utilisation of 84.3% is very high compared with the current KMCH network average of 70.2% and much higher than Korangi and Saddar. It may be unrealistic in the first year of the relocated depot.
- If utilisation is only at the network average, the average daily rental rate required is approximately Rs. 15,512, which is significantly above KMCH's current network average of Rs. 13,820 and far above Korangi/Saddar. This requires strong premium demand.
- The target may be achievable only if DHA Phase VIII attracts a better customer mix: corporate guests, airport transfers, family rentals and high-income residential customers.
- The calculation assumes constant variable cost of Rs. 6,500. Inflation in fuel, salaries, spare parts or delivery costs would increase the required rental rate or utilisation.
- The calculation does not include possible ramp-up. A new depot may take time to build demand, so year 1 utilisation may be below the four-year average required.
- Working capital recovery is assumed in full. If receivables, deposits or inventory are not fully recovered, NPV will worsen.
- The Board should not use the target NPV as a mechanical hurdle without considering strategic benefits, brand protection and the alternative cost of continuing weak depots.

Recommendation:

The relocated physical depot should not be approved unless market research supports premium pricing and utilisation close to the required level. A smaller phased depot or hybrid physical/virtual model may reduce fixed cost and lower the required utilisation threshold.

The Board should also request sensitivity analysis on rental rate, utilisation, fixed cost and variable cost before final approval.

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Question 2(d) - Virtual depot versus physical depot (8 marks)

A virtual depot could be a useful response to high fixed costs and weak utilisation, but it changes KMCH's service delivery model. The Board should compare it with a traditional depot using strategic, operational and financial criteria.

- Financial impact: a virtual depot avoids or reduces premises rent, fit-out cost, counter staffing and fixed overhead. This is attractive because the targeted utilisation required for a physical depot is demanding. However, it creates delivery/collection costs, mobile-team costs, parking facility charges and IT-control costs.
- Customer convenience: doorstep delivery may improve convenience for corporate and premium customers. It also fits app-based booking behaviour and may differentiate KMCH if executed reliably.
- Customer assurance: some customers may prefer a physical counter to inspect vehicles, resolve documentation issues and speak to staff. A fully virtual model may reduce trust for new or less tech-comfortable customers.
- Operational control: virtual depots require strong scheduling, geo-tagged handover evidence, driver tracking, parking controls and vehicle-security arrangements. Weak controls could increase disputes about vehicle condition, fuel level, late delivery or damage.
- IT dependence: the model depends heavily on app reliability, license verification, payment systems, telematics and real-time dashboards. Given KMCH's ageing telematics platform, virtual rollout before IT stabilisation would be risky.
- Brand impact: if virtual delivery is punctual and professional, it can support premium positioning. If mobile teams arrive late or vehicles are not clean, service failure becomes more visible to customers.
- Insurance and legal issues: KMCH must ensure insurance covers third-party parking locations, mobile handovers, temporary storage and transfer drivers.
- Employee implications: depot staff may need retraining as mobile handover teams, customer support agents or fleet coordinators. Poor change management may increase turnover.
- Implementation: a pilot in one dense urban catchment is preferable before replacing physical depots. The pilot should measure delivery punctuality, customer rating, damage disputes, cost per rental and utilisation.

Conclusion:

The virtual depot model should be piloted, not rolled out immediately across Karachi. It is attractive where fixed premises are expensive and customers value doorstep delivery, but it is only suitable if IT, telematics, customer verification, vehicle-condition evidence and mobile-team controls are reliable. For premium customers, KMCH may ultimately need a hybrid model: limited physical presence supported by high-quality mobile handover.

Question 3(a) - Sales tax / input tax implications of depot restructuring and vehicle replacement (10 marks)

The Board should not assume that all tax on vehicle purchases, spares, repair services, disposals and relocation costs will automatically be recoverable or irrelevant to the appraisal.

- **Reduced rate inputs or output:** If input sales tax is paid at a reduced rate, the relevant input tax may not be claimable. Similarly, if output tax is applicable under the Sales tax act or Provincial sales tax laws at a reduced rate, the related input tax may not be claimable.
- **Mixed use and apportionment:** vehicles may be used across self-drive rentals, chauffeur-driven services, corporate leasing, internal operational use or depot transfers. If any use relates to exempt, non-taxable or non-business activity, input tax requires apportionment.
- **Disposal of old vehicles:** sale or auction of old vehicles is a taxable supply but the application of sales tax depending on the facts. As per FBR regulations, registered persons selling used vehicles are liable to pay sales tax, calculated on the value addition made.
- **Lease termination and relocation costs:** lease exit penalties are part of lease rentals and are chargeable to sales tax under the Provincial sales tax laws. Similarly fit-outs, repairs, property-related services are also chargeable to sales tax. KMCH would pay input tax on these items.
- **Federal vs provincial tax:** KMCH provides vehicle rentals, chauffeur services, app-based services and possibly delivery/collection services. These services are usually chargeable to tax under Provincial sales tax laws and accordingly the input tax claim would vary by Province.
- **Documentation:** input tax recovery should be supported by valid tax invoices, import goods declarations where relevant, supplier sales tax registration status, purchase orders, asset registers and evidence that the vehicles/parts are used in taxable business activities.
- **Cash-flow timing:** even where input tax is recoverable, refunds or adjustments may not be immediate. The appraisal should reflect timing differences because KMCH is capital-intensive and cash constrained.
- **Compliance risk:** incorrect assumptions may lead to tax demands, penalties, delayed refunds and reputational risk. The Board should require tax review before contracts are signed.

Recommendation:

Before approving the restructuring, the Board should request an updated financial model incorporating the impact of input taxes and documentation assumptions as explained above.

Question 3(b) - Implementation plan for depot restructuring and fleet replacement (16 marks)

A phased implementation plan is required because the proposal affects customers, employees, fleet procurement, IT, taxation, service quality and brand reputation. The Board should avoid a sudden closure or full fleet replacement before validating assumptions.

Phase	Key actions	Responsible person / function	Key controls / outputs
1. Board decision and scope	Approve preferred option for each depot: turnaround, relocation, closure or virtual pilot. Define target KPIs and decision gates.	Board / CEO / CFO	Approved business case, success criteria, delegated authority limits
2. Financial validation	Update asset replacement, lease-vs-buy and target NPV calculations using final supplier quotations, tax assumptions and sensitivity analysis.	CFO / Finance team	Revised appraisal, sensitivity table, funding requirement
3. Customer and location validation	Assess DHA demand, competitor pricing, parking, access, corporate client interest and app-search data.	Business Development / Marketing	Market validation report and customer segment analysis
4. Fleet procurement decision	Decide which old vehicles to replace, retain, redeploy or sell. Negotiate purchase / lease terms.	Fleet Manager / Procurement	Approved procurement plan, residual value evidence, maintenance SLAs
5. Tax and legal review	Confirm input tax, output tax on disposal, lease/ljarah treatment, relocation and documentation requirements.	Tax Manager / Legal	Tax memo, contract review, invoice checklist
6. Process redesign	Implement digital pre-verification, handover checklists, damage photos, maintenance work orders and complaint workflow.	COO / IT Director	Standard operating procedures and system workflow
7. HR and training	Redeploy staff where possible. Train mobile handover teams, depot managers and customer-service staff.	HR Director / Operations	Training attendance, competency sign-off, revised job descriptions
8. IT and telematics readiness	Ensure app, payment, license verification, telematics and dashboard modules are stable before virtual pilot.	IT Director	User acceptance testing, cyber checks, exception logs
9. Pilot roll-out	Pilot relocated / virtual operations for three months before full closure or roll-out.	CEO / COO	Pilot report against utilisation, rating, complaints and cost KPIs
10. Post-implementation review	Compare actual performance with business case, investigate variances and decide whether to scale, modify or stop.	Board / CFO / COO	Post-audit report and corrective action plan

Additional implementation risks and responses:

- Demand risk: the relocated depot may not achieve 84.3% utilisation or required premium pricing. KMCH should secure corporate leads, use pilot data and avoid full fixed-cost commitment initially.
- Cost overrun risk: depot fit-out, IT integration, delivery teams and vehicle acquisition costs may exceed budget. Procurement approvals and variance reporting are necessary.

- Service disruption risk: customers must be informed before closure/relocation, bookings should be redirected and alternative pickup/delivery options provided.
- Employee risk: staff may resist relocation, virtual operations or new roles. KMCH should communicate early, provide training and manage redeployment fairly.
- IT risk: virtual depots should not go live until app, payment, license verification and telematics controls are tested.
- Tax risk: assumptions on input tax, disposal tax and lease treatment should be finalised before the financial model is approved.
- Brand risk: service failures during transition may harm the premium brand. Customer ratings and complaints should be monitored daily during pilot stage.
- Governance risk: management may focus on launching quickly rather than meeting controls. The Board should require milestone approvals and post-implementation review.

Overall recommendation:

The Board should approve a phased restructuring rather than an immediate full closure or full replacement programme. Process fixes and service-quality controls should begin immediately. A limited fleet replacement / lease arrangement should be used for vehicles causing the highest downtime. Relocation or virtual depot should be piloted with clear financial and non-financial KPIs. Full roll-out should occur only if actual utilisation, customer satisfaction, complaint reduction and financial returns support the business case.